

Annual Financial Statements

Balance Sheet

Assets

- Loans / Advances
- HQLAs
- Securities
- Property
- Derivatives
- Intangible assets

Liabilities

- Deposits
- Wholesale funding
- Provisions
- Debt capital
- Preference shares

Equities

- Common shares
- Share premium
- Reserves / Retained earnings

Income Statement

Revenue

Net Interest Income (NII)

- NII is a significant part of retail and commercial banks' total income as banks aim to make money by borrowing funds at low rates and lending them at higher rates.
- It's relatively stable compared to trading income but can come under pressure due to factors like competition leading to lower loan prices, interest rate changes, and reluctance to impose negative rates on deposits when interest rates are very low.
- NII is a function of your interest-earning assets (loans, HQLAs and securities e.g. deposits with central banks) and interest-bearing liabilities (deposits and wholesale funding).
- The interest beard on deposits is a function of the price, relative to the reference rate, the type of deposit (instant, notice or fixed) and the volume of deposits received.
- The interest beard on wholesale funding in a function of Treasury's rate (which relates to the repo rate and/or JIBAR rate), the type of instrument and the exposure.
- The interest earned on loans is a function of the price, relative to the reference rate, the type of loan product (mortgage, credit card) and the volume of the loans issued.

Non-interest Revenue (NIR)

Non-interest Income

- These fees can include account fees, commitment fees, transaction fees, asset management fees, insurance fees, and others.
- Fees may be initial, ongoing, or related to loan termination, and sometimes they need to be spread over time for accounting purposes.

Trading (fair value) Income

- Daily gains and losses from this marking-to-market process contribute to trading income. This can be on equities, commodities, fixed income instruments or currencies.
- Where a market price isn't available, assets and liabilities must be marked-to-model.

Expenses

Operational Expenses

Shared Costs

- Staff costs
- Property costs
- Professional costs
- Marketing costs
- IT costs

Direct Costs

- Initiation costs
- Ongoing costs
- Termination costs

Impairments

- Under IFRS 9, banks must hold provisions for ECLs for each loan which is allocated to three stages. Once loans have been allocated these stages banks must hold provisions for ECL.
- Changes in provisions impact the income statement as an impairment charge, reducing retained earnings. They impact the timing of loss recognition but not the actual loss amount. These are credit losses, which are higher during recessions.
- Write-offs (full or partial) against provisions typically occur after default events, considering "reasonable expectations of future recoveries" (IFRS 9) and following the collections process.
- It is calculated as the change in provisions, less interest earned on stage 3 accounts, plus gross write-offs (net of debt collection), less PWOR and plus MGL.

Profit & Loss

- Total income = NII + NIR

- $\text{EBIT} = \text{total income} - \text{operating expenses} - \text{impairments}$
- $\text{Profit} = \text{EBIT} - \text{tax} - \text{debt interest}$
- $\text{Earnings} = \text{profit} - \text{preference shareholder dividends}$
- $\text{EPS} = \text{earnings} / \text{number of shares}$

Financial Ratios

Stability of income (IS)

A high NII-to-total income ratio shows that most of a bank's income is net interest income, which is generally regarded as more stable than NIR.

Efficiency (IS)

Changes in a bank's cost-to-income ratio over time may show that it is becoming more or less efficient, or they could reflect a changing business mix. Also, different cost to income ratios at different banks may reflect different levels of efficiency or different business mixes.

Growth (IS)

Growth in EPS is an important measure for investors to compare it with other companies in the same industry.

Profitability (IS & BS)

- An increasing NIM over time indicates improving profitability, but this could be the result of a move to higher-risk lending with higher margins and greater credit losses. Also, different levels of net interest margins at different banks may reflect different levels of risk and may be offset by different levels of credit losses.
- A higher ROA or ROE implies more efficient profit generation per unit of asset or equity.

Quality of loan portfolio (BS)

Stage 3 loans-to-total loans indicates the quality of the loan book.

Stability of funding (BS)

A lower loan-to-deposit ratio shows that a bank is less reliant on wholesale funding, which is generally regarded as less stable than customer deposits.

Capital strength (BS)

CET1 capital-to-total RWAs ratio of different banks have only limited value because different banks have different total capital requirements and may have different capital buffers to cover their risks.

Liquidity strength (BS)

The higher the LCR the better a bank will be at sustaining short term liquidity needs during times of stress